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Measuring Spending in the Survey of Consumer Finances

Aditya Aladangady, Jesse Bricker, Andrew C. Chang, Sarena Goodman, and Gina Li, with assistance from Payton Crawford and Eve Devens[1]

The United States has long lacked comprehensive household spending data across all types of households. Data sources whose primary purpose is to measure spending routinely miss the highest-income and wealthiest households (Bee, Meyer, and Sullivan, 2015; Sabelhaus, Johnson, Ash, Swanson, Garner, Greenlees, and Henderson, 2015; Pfeffer, Schoeni, Kennickell, and Andreski, 2016), while data sources that cover the full distribution of income and wealth lack comprehensive spending measures (Attanasio and Pistaferri, 2016; Fisher, Johnson, Smeeding, and Thompson, 2022). This data gap makes it difficult to characterize the distribution of economic well-being fully (National Academies of Sciences, Engineering, and Medicine, 2024), as income and wealth capture only a family's capacity to spend, while spending better reflects their material well-being. As a consequence of this data gap, fundamental questions about spending inequality remain unresolved. In particular, claims of a "K-shaped" post-pandemic recovery—where rich families drive growth as poor families fall behind—are difficult to evaluate because of this data gap.

To fill this gap, we, along with other members of the Federal Reserve staff, introduced new spending questions in the 2025 Survey of Consumer Finances (SCF).[2] The SCF has long been the leading resource for analyzing household wealth and income in the United States, due to its detailed balance sheet information and oversample of wealthy households. However, it has historically captured only selective outlays—food expenditures, major housing costs, vehicle purchases, and routine debt service—leaving researchers seeking broad spending measures to rely on surveys like the Consumer Expenditure Survey (CE) or the Panel Study of Income Dynamics (PSID), which tend to miss the highest-wealth households, or on administrative data, which are often not drawn from a representative sample frame. The 2025 SCF removes this tradeoff by adding direct measures of total annual spending and vacation spending, allowing researchers to observe families across income, wealth, and spending distributions within a single, representative dataset for the first time.[3]

We begin by benchmarking the SCF data against the CE and PSID. The CE and PSID collect many categories of spending—especially the CE because of its primary purpose in constructing official price level statistics—and add the categories of spending up to a bottom-up measure of

total spending. The SCF, in contrast, collects a few categories of spending plus a top-down total spending amount.

Despite the methodological differences, the SCF's top-down implied aggregate spending figure for 2025 is only slightly below the bottom-up total for 2024 implied by the CE. Moreover, core SCF spending components (food, rent, and new vehicles) track the CE closely over time.[4] In addition, we find that distributional spending and saving patterns in the SCF roughly align with both the CE and PSID in the bottom 95 percent of the income distribution, which all three sources cover well (Sabelhaus, Johnson, Ash, Swanson, Garner, Greenlees, and Henderson, 2015; Pfeffer, Schoeni, Kennickell, and Andreski, 2016).[5]

Importantly, our benchmarking helps validate that the SCF fills a critical measurement gap in spending for high-income families, allowing us to describe spending patterns over the full economic continuum. We show that the relationship between spending and income extends nearly linearly across the highest income families. These high-income families have an average level of spending that far exceeds both the CE and PSID peaks and surpasses what even an extrapolation of those data sources would project.

Empirical work on economic inequality relies primarily on income or wealth distributions (e.g., Bricker, Henriques, Krimmel, and Sabelhaus, 2016; Smith, Zidar, and Zwick, 2023), leaving the complete distribution of material well-being unobserved.[6] Here, we provide the first statistics that fully characterize inequality in spending and that examine it alongside income and wealth within a single, unified sample. We find that spending is concentrated, though considerably less so than income or wealth: the top 1 percent of spenders account for 9 percent of total spending, compared with top percent shares of 19 percent for income and 32 percent for wealth. Spending shares rise nonlinearly with household resources, such that the top 10 percent of families ranked by either wealth or income account for a disproportionate 28 percent of total spending. Further, spending composition follows predictable patterns based on expenditure type, with discretionary goods becoming a larger share of spending as income rises. Finally, joint analysis of economic inequality across all three dimensions reveals that 30 percent of the wealthiest families also rank in the top 1 percent of income and spending—roughly half the overlap observed between wealth and income alone. Therefore, a meaningful share of top spenders fall outside the top income and wealth brackets.

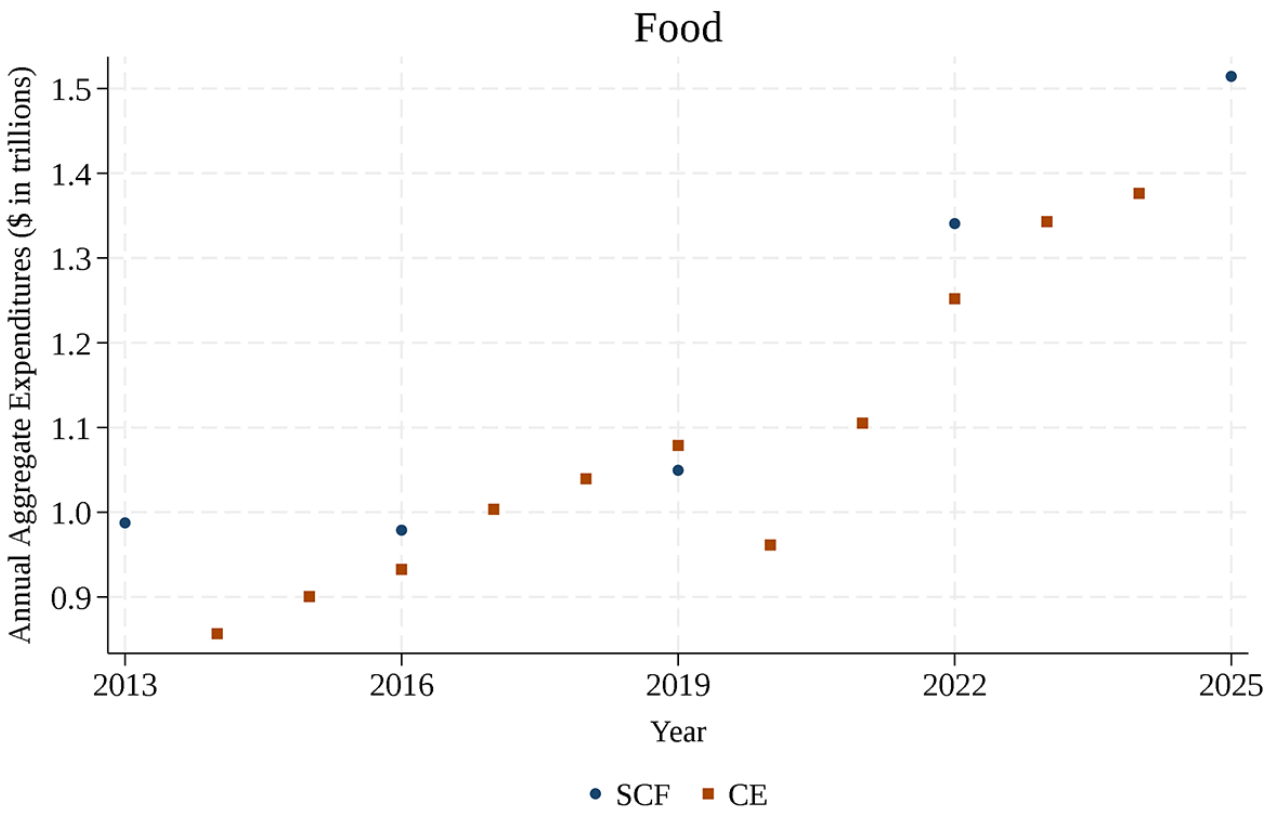
Finally, while a single cross-section cannot establish trends, the 2025 SCF also introduced new qualitative questions on changes in income and spending that we use to evaluate whether the 2025 SCF data are consistent with a K-shaped post-pandemic recovery. On net, the data suggest that the position of lower-income families deteriorated a bit relative to higher-income families. While lower-income families were just as likely as higher-income ones to report that their spending was higher than the previous year and that they were better off financially, the share of lower-income families that reported spending decreases, being financially worse off, and lower income during the prior year rose relative to higher-income families. Therefore, the data are only in part consistent with the K-shaped recovery—higher-income families do not appear to be pulling away but at least some lower-income families appear worse off. Future waves of the SCF will allow these dynamics to be measured more directly.

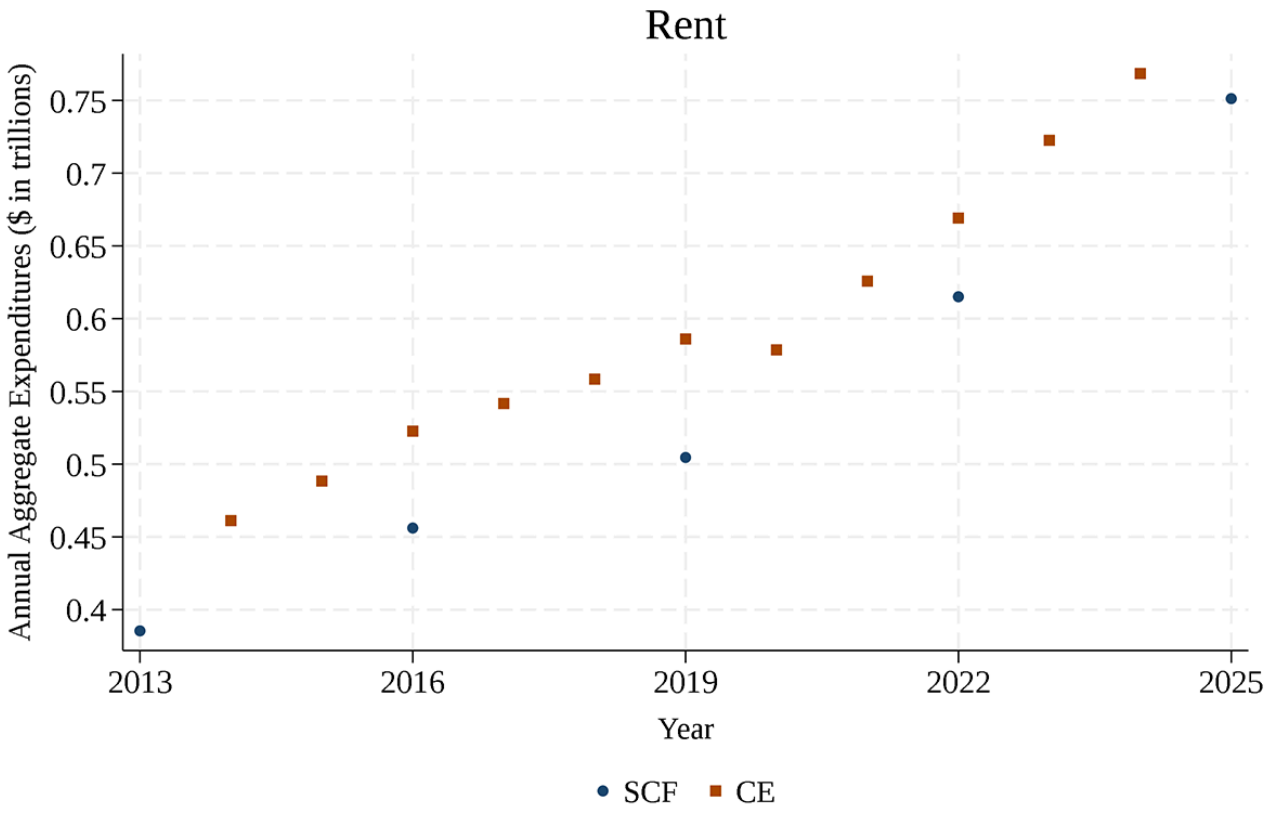
Insights from the new spending measures

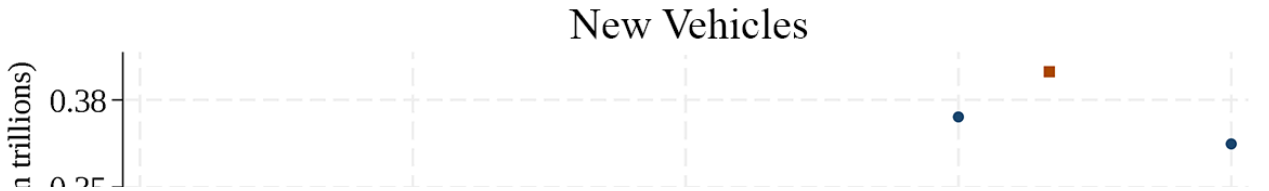
The new SCF total spending question asks respondents about all of their family's spending during the last 12 months, including durable and nondurable purchases, but excluding rent, mortgage payments, and retirement contributions.[7] This scope is conceptually similar to the ex-shelter and retirement contributions measure in the CE. However, the CE collects data on hundreds of different spending areas and aggregates spending from these components, versus the top-down approach in the SCF spending question.[8] Despite this difference in approach, aggregate spending in the 2025 SCF was $6.58 trillion, just below the comparable aggregate of $7.02 trillion in the 2024 CE.[9]

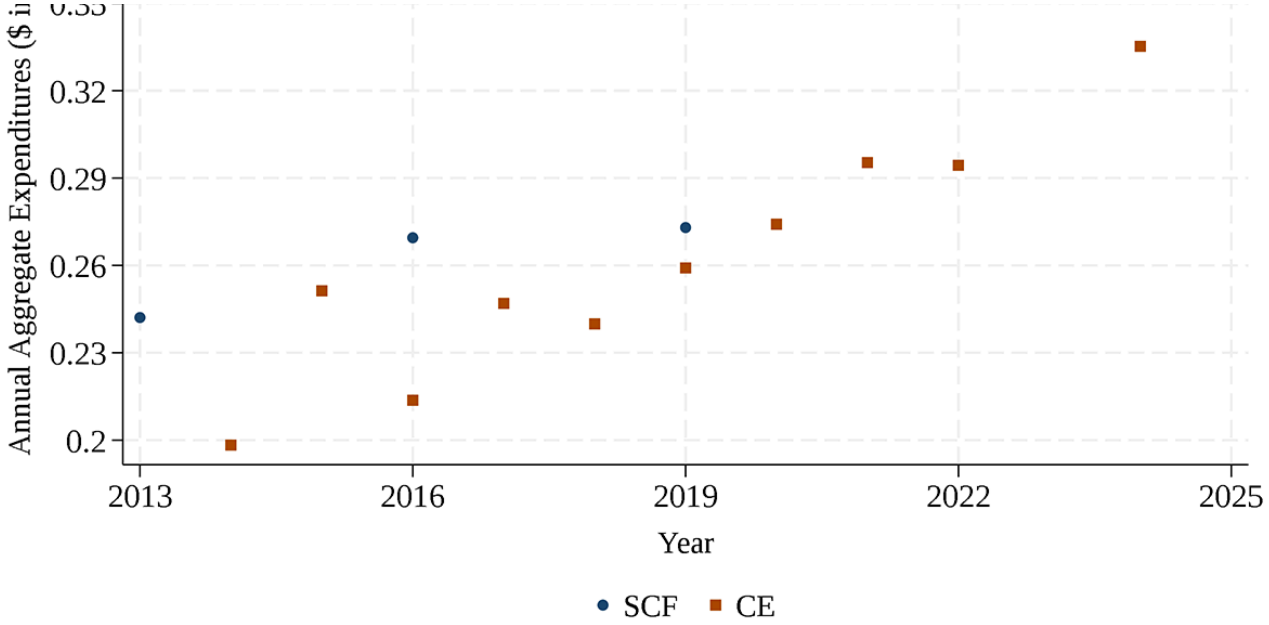
In separate questions, the SCF collects spending in particular categories: food at home, food away from home, and, new for the 2025 survey, vacations or entertainment. Other SCF questions can also be used to back out spending on rent and new car purchases. Figure 1 confirms that the aggregates for these components, where the definitions align, track the CE over history.[10]

Figure 1. SCF and CE components: food, rent, and new vehicles


Food
Annual Aggregate Expenditures ($ in trillions)
1.5
1.4
1.3
1.2
1.1
1.0
0.9
2013
2016
2019
2022
2025
Year
SCF
CE


Rent
Annual Aggregate Expenditures ($ in trillions)
0.75
0.7
0.65
0.6
0.55
0.5
0.45
0.4
2013
2016
2019
2022
2025
Year
SCF
CE


New Vehicles
trillions)
0.38

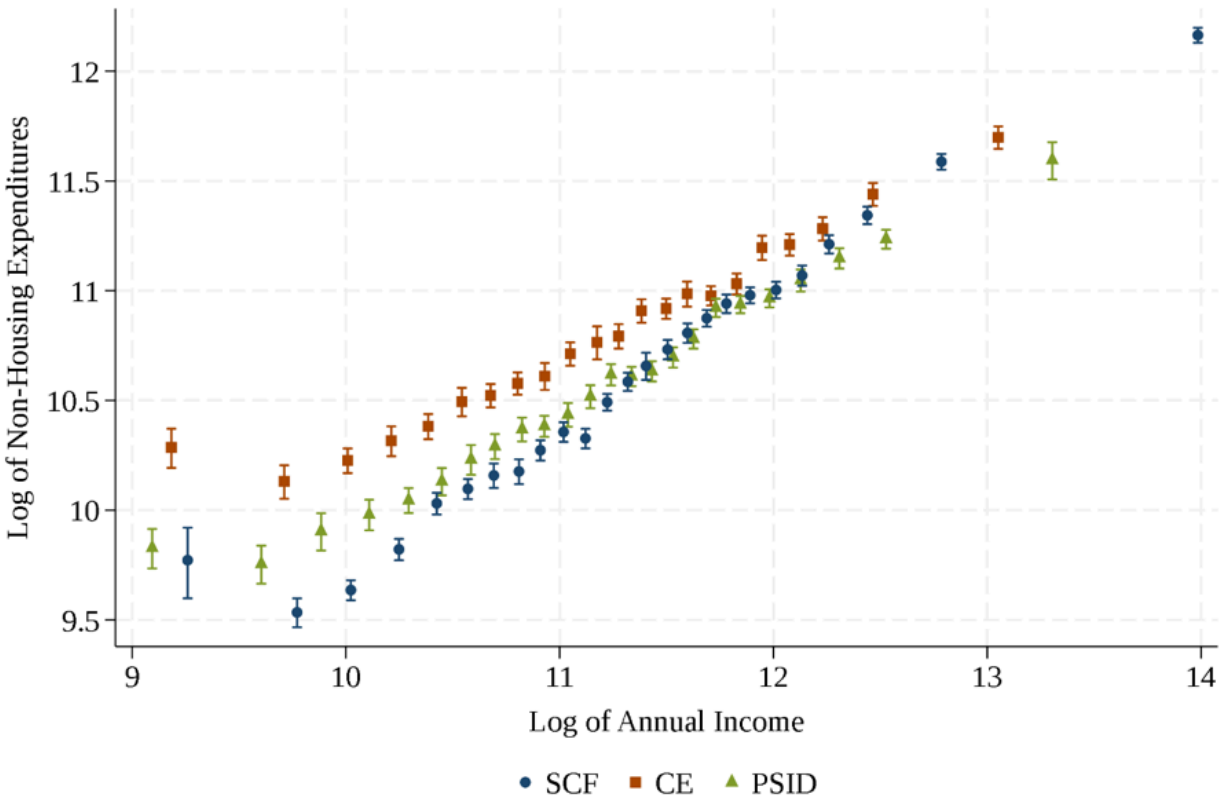


Note: This figure plots the nominal aggregate spending on food, rent, and new vehicles in the SCF (navy circles) and the CE (orange squares). The 2025 CE data were not yet available at time of this writing.
Interpretation: The trends in spending on food, rent, and new vehicles, which are spending categories that the SCF has collected historically, are similar between the SCF and CE over time.
Source: Board of Governors of the Federal Reserve System (2026), Table 1110 of Consumer Expenditure Public tables (U.S. Bureau of Labor Statistics, 2026).
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As a next step, we compare distributions of spending over income across micro data sources. Here, we focus on both the CE and PSID, two surveys that both measure spending and income, and have good coverage over the bottom 95 percent of the income and wealth distributions (Sabelhaus, Johnson, Ash, Swanson, Garner, Greenlees, and Henderson, 2015; Pfeffer, Schoeni, Kennickell, and Andreski, 2016).

Figure 2 plots average spending by income for the three surveys.[11] Spending increases steadily with income across all three surveys with considerable alignment in levels. However, the slope is flatter—and spending in lower income segments is higher—in the CE and PSID, with differences most pronounced in the CE. This pattern is consistent with both (a) potential underreporting of income by low income families in the CE (Meyer and Sullivan, 2003), as the PSID and SCF both measure income relatively well—and (b) potentially larger spending reported in the CE due to the granularity of its spending questions.[12] The PSID spending questions are more granular than the SCF and less granular than the CE, and average spending in the SCF tracks the PSID rather closely.

Figure 2. Relationship between income and spending in the SCF, CE, and PSID

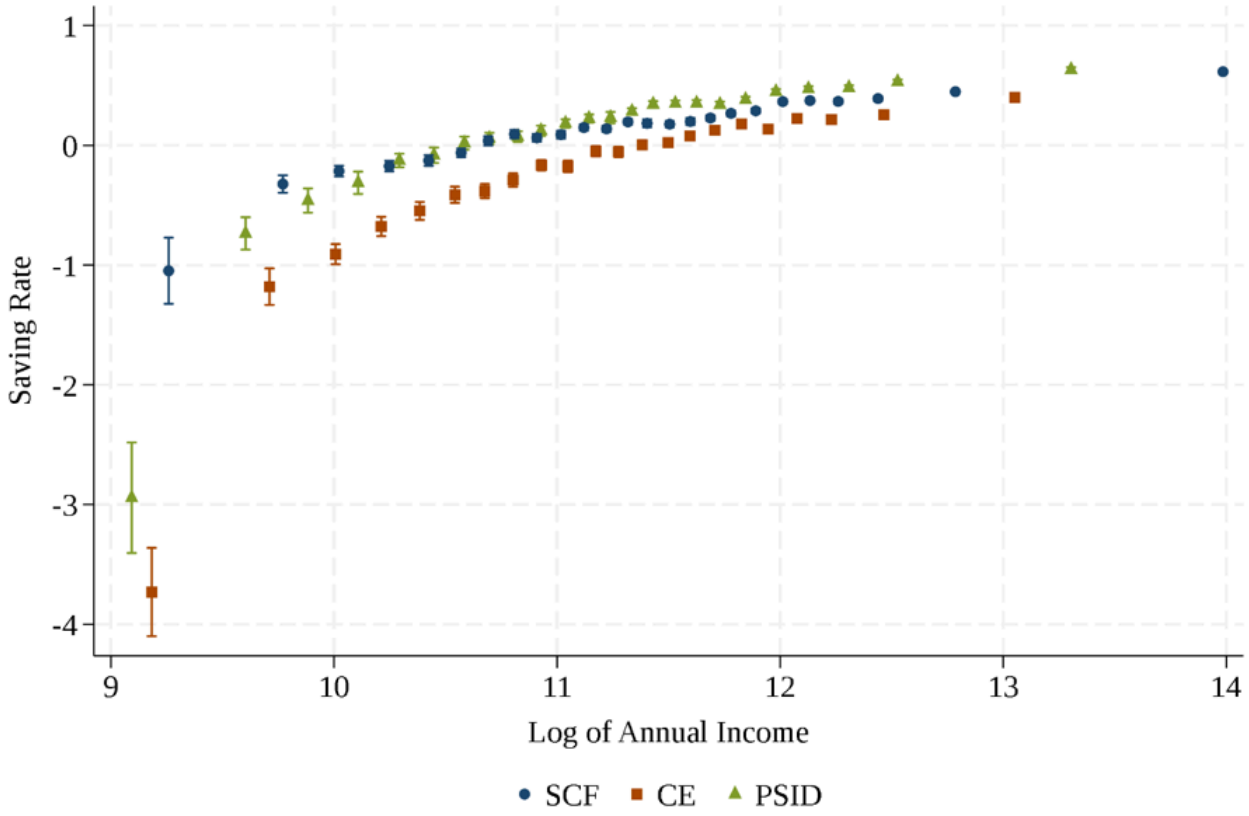


Note: Weighted means and conventional 95 percent confidence intervals for log real expenditures across 25 bins of income for the SCF (navy circles), CE (orange squares), and PSID (green triangles). This figure adjusts dollar amounts to 2025 dollars using the current methods version of the consumer price index for all urban consumers (CPI-U-RS). Bins with implausibly low real annual incomes in the CE and PSID are not shown. Lowest 3 bins in CE (not shown) have combined average annual income of $1,000 and average annual expenditures of $37,900. Lowest bin of PSID (also not shown) has average income of $500 and average expenditures of $20,100.
Interpretation: Spending rises with income more quickly in the SCF compared with the CE and PSID. The SCF is the only dataset that samples the highest income families (top right circle), which have much higher spending than families in either the CE or PSID.
Source: Board of Governors of the Federal Reserve System (2026), 2024 CE Interview public-use microdata (U.S. Bureau of Labor Statistics, 2026), 2023 PSID survey microdata (University of Michigan, 2026).
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The key advantage of the SCF relative to other surveys is that it includes an oversample of wealthy households, providing unique insight into spending at the top of the income and wealth distributions. In Figure 2, for example, the SCF is the only dataset that provides coverage of spending at the top of the income distribution (at the far right of the horizontal axis). Average spending for this highest income bin is approximately a linear extension of the relationship seen in the SCF at lower income levels. Average spending for this top-most SCF group is larger than the top segments in both the CE and the PSID, and it exceeds what a linear extrapolation of their distributions would imply. This pattern foreshadows our distributional findings that spending is less concentrated than income and wealth but that aggregate consumption is much more heavily driven by richer families than existing expenditure surveys indicate.

As a final benchmarking exercise, Figure 3 compares saving rates—the portion of after-tax income that remains after accounting for total outlays—across the three datasets over income.[13] Implied saving rates in the SCF are more comparable to those in the PSID at lower income levels and more comparable to the CE at higher income levels. The higher quality income measure in the SCF may raise saving rates relative to the CE for lower income families, though, as noted above, these families may also under-report spending in the SCF. Saving generally increases with income with saving rates of 50 percent of income or higher for the highest income families across all datasets.[14] These saving rates also imply that roughly one-quarter of families are at their budget constraint—that is, their calculated saving rates are less than or equal to 0.[15]

Figure 3. Implied saving rates in the SCF, CE, and PSID

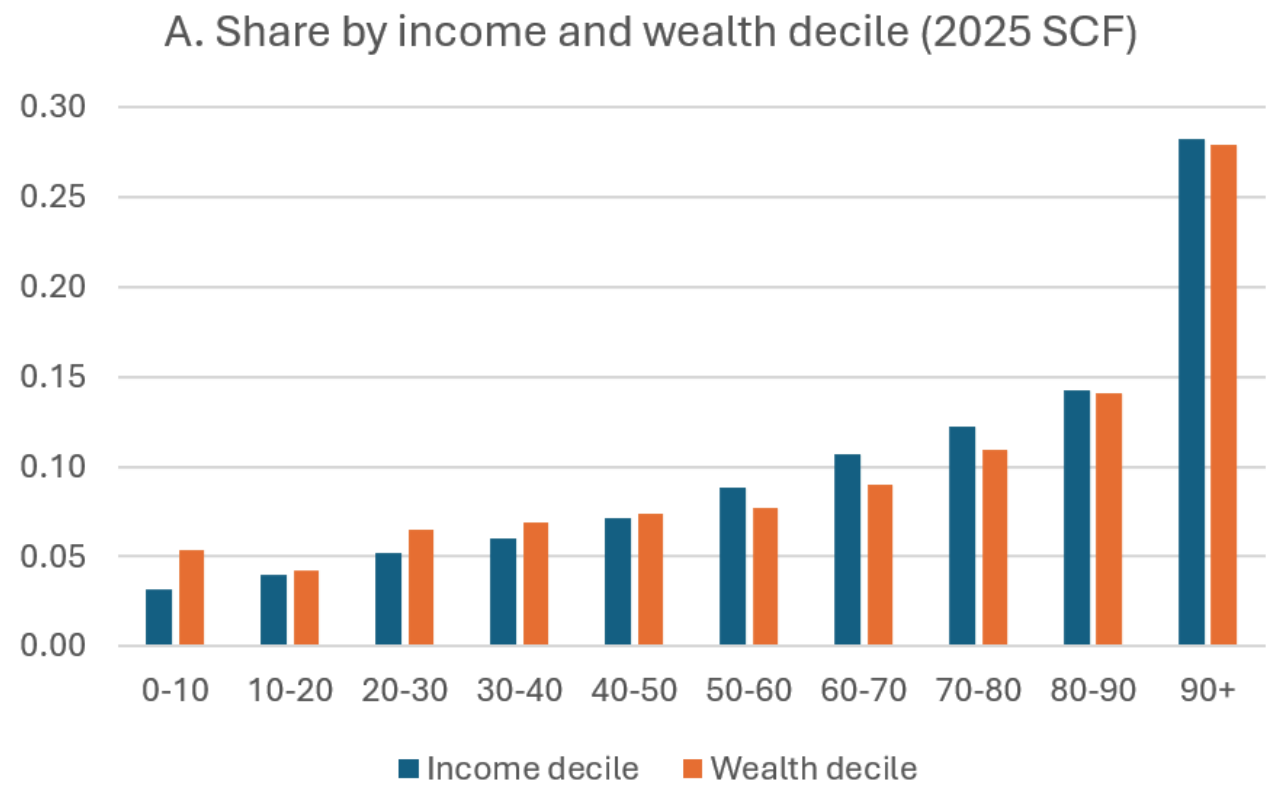


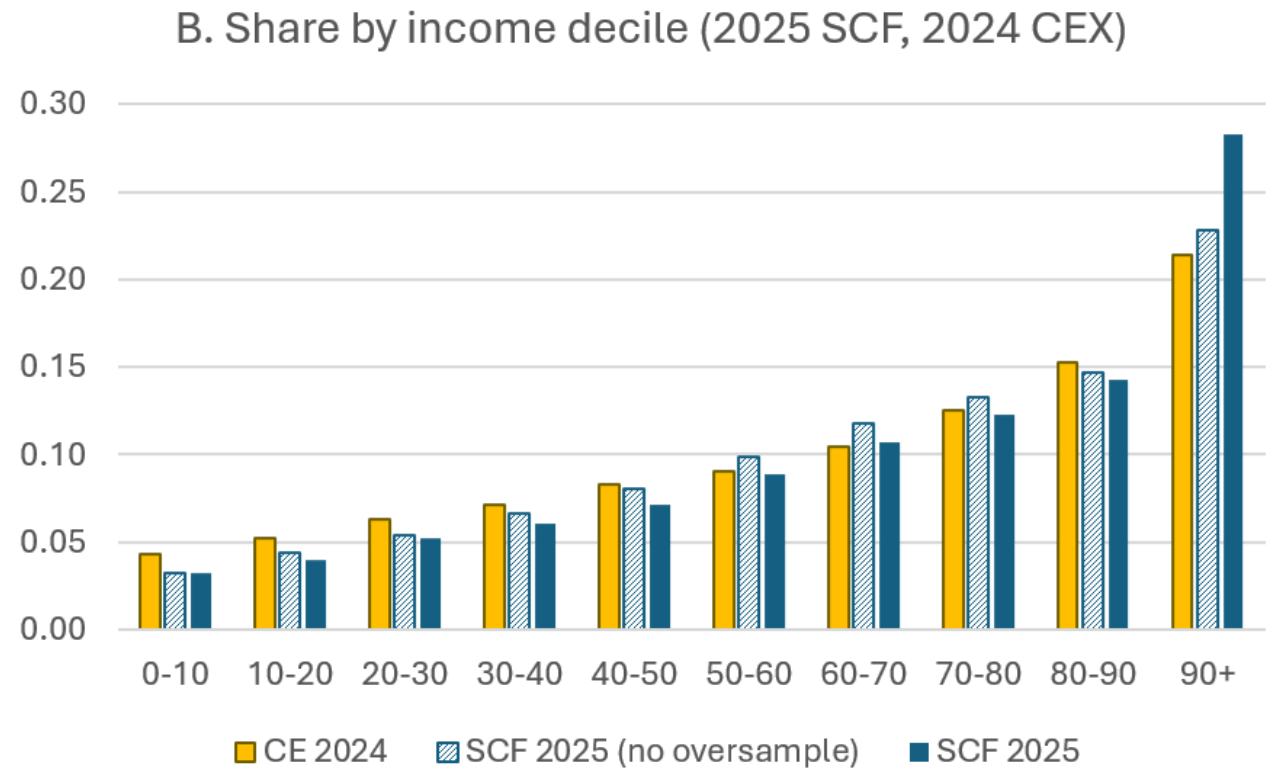
Note: Weighted means and conventional 95 percent confidence intervals for household-level saving rates across 25 bins of real income for the SCF (navy circles), CE (orange squares), and PSID (green triangles). This figure adjusts dollar amounts to 2025 dollars using the current methods version of the consumer price index for all urban consumers (CPI-U-RS). Bins with saving rates less than -500 percent in CE and PSID are not shown (lowest 3 bins in CE with average annual income of $1,000 and lowest bin in PSID with average income of $500).
Interpretation: The implied saving rate in the SCF is comparable to the PSID at lower income levels and to the CE at higher income levels. Across all three surveys, about one-quarter of families have negative saving rates. Because of its sample design, the SCF can also capture the saving rate of the highest income families (top right circle) that the PSID and CE cannot.
Source: Board of Governors of the Federal Reserve System (2026), 2024 CE Interview public-use microdata (U.S. Bureau of Labor Statistics, 2026), 2023 PSID survey microdata (University of Michigan, 2026).
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These benchmarking exercises demonstrate that both SCF spending aggregates and the relationships between spending, saving, and income align with external spending data. Furthermore, the SCF captures the full distribution of families by income. We build on this latter point and turn next to a distributional analysis of spending in the SCF.

Spending is right-skewed over both income and wealth and just slightly more evenly spread across wealth than across income (Figure 4, panel A).[16] The highest income and highest wealth families both account for around 28 percent of aggregate spending. Concentration of spending toward the top of the income distribution is much higher in the SCF than in the CE—where the highest decile accounts for a still-high 21 percent of spending (Figure 4, panel B). Differences in population coverage seem to be the driver: in the SCF, two-thirds of total spending in the top income decile was by the top 5 percent by income. Omitting the SCF's wealthy oversample leads to population coverage similar to the PSID and CE (Pfeffer, Schoeni, Kennickell, and Andreski, 2016), and the SCF-ex-wealthy-oversample spending concentration is closer to the CE (dashed blue bars in Figure 4, panel B).[17]

Figure 4. Share of total spending by income and wealth deciles





Note: Panel A shows share of aggregate non-housing spending by SCF income decile and wealth decile. Panel B repeats the share of spending by SCF income decile and compares that with the share reported in the public CE survey tables, and to the share in the SCF using a sample that excludes the SCF wealthy oversample so that the no oversample SCF is comparable with the CE. The keys for each panel identify bars within each percentile range in each panel in order from left to right.

Interpretation: Spending is concentrated among the highest income or wealth families. Compared with the CE, spending in the SCF is more focused in the highest income decile. Part of this difference between the CE and

SCF is because the SCF oversamples wealthy families.
Source: Board of Governors of the Federal Reserve System (2026) and CE Table 1110 (U.S. Bureau of Labor Statistics, 2026).
Accessible version

Beyond differences in spending levels, how families spend also varies significantly across the income distribution. While we do not observe the full set of goods and services they spend on, some clear patterns emerge from the components we do observe.

The share of spending allocated to food at home is much higher at the bottom of the distribution: around 30 percent of total spending in the lowest two deciles (Figure 5, panel A, light red bars). While actual spending on food at home rises with income (panel B, light red bars), the increase is muted, consistent with food at home being a necessity. As a share of a family's budget, spending on used cars rises to a peak in the 7th decile of income, then falls (panel A, dark red bars).

Figure 5. Budget shares and spending concentration, by income decile



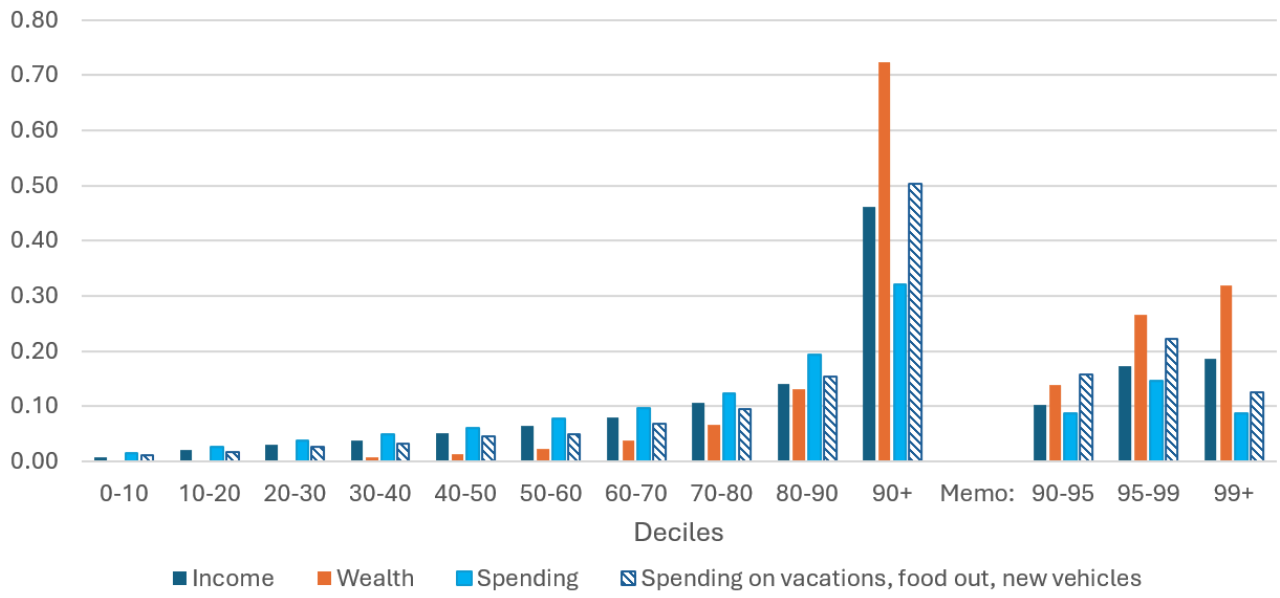
Note: Panel A shows the share of annual income that is devoted to five different types of spending captured in the SCF, broken down by income decile. In this way, the top panel shows the share of family budgets devoted to each type of spending. Panel B shows the share of aggregate spending of the five different types of spending that each income decile is responsible for—a concentration of spending measure. The keys for each panel identify bars within each decile in each panel in order from left to right.
Interpretation: The share of a family's budget dedicated to food at home falls with income, while food away from home, new cars, and vacations rise with income. All types of spending are concentrated at the top of the income distribution, but spending on new cars and vacations are the most concentrated.
Source: Board of Governors of the Federal Reserve System (2026).
Accessible version

By comparison, spending on discretionary components—that is, food away from home, new cars, and vacations—rises as a share of total spending over the distribution (Figure 5, panel A, blue bars), with overall spending in these categories much more concentrated among high-

income households (panel B, blue bars). Families in the top decile of income account for more than 30 percent of new car purchases and 40 percent of vacation and entertainment spending (darkest blue bars, panel B). Broadly, the pattern is consistent with non-homothetic spending preferences, where the mix of spending changes with income and wealth (Gaillard, Hellwig, Wangner, and Werquin, 2023), and suggests that relying on just food spending as a proxy for total spending significantly understates distributional variation.

Figure 6 exploits the SCF's unique ability to capture income, wealth, and spending within the same sample. Relative to one another, overall spending is the least concentrated, and wealth is the most, consistent with past literature using imputed SCF expenditures (Fisher, Johnson, Smeeding, and Thompson, 2022) and the PSID (Gaillard, Hellwig, Wangner, and Werquin, 2023).[18] The top 1 percent of spenders account for 9 percent of all spending, while the top 1 percent of earners account for 19 percent of all income, and the richest 1 percent account for 32 percent of all wealth.[19] Spending concentration on discretionary components—vacations, new vehicles, and food away from home—is nearly as concentrated as income, though.

Figure 6. Income, wealth, and spending concentration



Note: The deciles in this figure are defined based on each measure of well-being, and the height is the share of each measure. For example, the "90+" bars indicate that the wealthiest 10 percent hold about 75 percent of aggregate wealth, the top 10 percent by income receive about 46 percent of aggregate income, the top 10 percent of spenders account for 32 percent of all spending, and the top 10 percent of luxury good spenders (food out, vacations, travel, new vehicles) account for about 50 percent of luxury spending. The key identifies bars within each percentile range in order from left to right.
Interpretation: While all four measures are concentrated, overall spending is the least concentrated, and wealth is the most. Spending on discretionary components is more concentrated than overall spending.
Source: Board of Governors of the Federal Reserve System (2026).
Accessible version

The degree of overlap among income, wealth, and spending in the SCF offers new insight into the joint concentration of economic resources (Fisher, Johnson, Smeeding, and Thompson, 2022) and furthers a long-held measurement goal of integrated wealth, income, and consumption data (National Academies of Sciences, Engineering, and Medicine, 2024). As shown in Table 1, in 2025 57 percent of families in the wealthiest 1 percent were also the top percent of earners, while 46 percent were jointly in the top wealth and spending group. Ultimately, 31 percent of the wealthiest families ranked in the top 1 percent across all three dimensions simultaneously. Broadening to the top 5 percent reveals even tighter alignment: 62 percent of the wealthiest 5 percent of families are the top 5 percent of spenders, with 44 percent of that group aligned on all three metrics. At both levels, the overlap between wealth and spending is somewhat larger than the overlap between income and spending, damping the influence of temporary income shocks. Households in the top percent of income and wealth overlap substantially with each other, but top spender households are more broadly distributed across the population. Consequently, a meaningful share of top spenders falls outside the top income and wealth brackets.

Table 1. Joint distribution of wealth, income, spending

Joint Distribution of Top 1 Shares

Wealth & Income	Wealth & Spending	Income & Spending	Wealth & Income & Spending
0.57%	0.46%	0.43%	0.31%

Joint Distribution of Top 5 Shares

Wealth & Income	Wealth & Spending	Income & Spending	Wealth & Income & Spending
4.01%	3.06%	2.59%	2.18%

Note: The top panel shows the share of all SCF families that are jointly in the top 1 percent of wealth and income (first column), wealth and spending (second column), income and spending (third column), and jointly in the top 1 percent of all three measures (fourth column). The second panel repeats for families in the top 5 percent of these measures.
Source: Board of Governors of the Federal Reserve System (2026).

Qualitative measures of spending growth: Evaluating the K-shaped economy narrative

Thus far, we have used the SCF to describe the cross section of spending across both income and wealth distributions, showing that aggregate spending is more concentrated at the top than previously understood. But which income groups are driving the change in spending in the post-pandemic period? Economic growth in the aftermath of the COVID-19 recession has been described as "K-shaped"—where the income and consumption growth of well-off families has diverged from those of other families—even as the evidence of such growth is often based on incomplete data and yields mixed conclusions.[20] We cannot construct a change in aggregate spending by income groups, as the 2025 SCF is the first year that collected total spending. However, the 2025 survey also added questions on self-reported qualitative changes in spending, income, and financial well-being, which we use to estimate dynamics in spending and financial well-being by income and wealth.[21]

Focusing first on families' impressions of how their spending changed over the past year, a K-shaped economy predicts that the share of families whose spending increased would rise with income and wealth. However, in the SCF the share reporting an increase in spending is about the same for low-income families as it is for high-income families, as is the case for low-wealth versus high-wealth families (Figure 7).

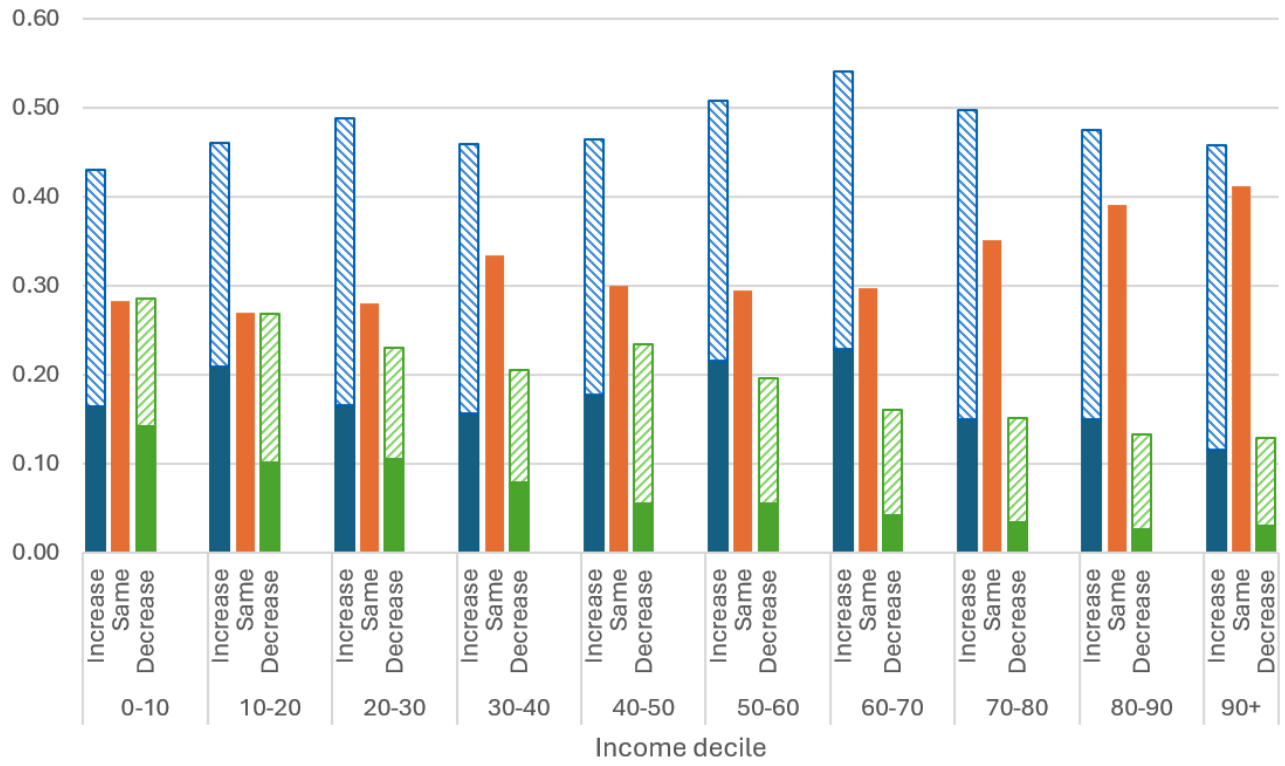
Figure 7. Share reporting spending increased over past year, by income and wealth deciles



Note: This figure plots the share of families that reported an increase in average monthly spending relative to one year ago as and grouping "substantial increase" and "small increase" together. An increase in the share as income or wealth deciles rise is consistent with a "K-shaped" economic recovery pattern. The key identifies bars within each percentile group in order from left to right.
Interpretation: The share of families reporting higher spending over the last year does not appear to be related to its income or wealth decile. As such, the evidence in this figure is inconsistent with a K-shaped economy.
Source: Board of Governors of the Federal Reserve System (2026).
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We can only get a hint at the magnitudes, but the share reporting they "substantially" increased spending also points against spending growth being concentrated at the top deciles (Figure 8). This qualitative evidence is certainly not consistent with spending among high-income or wealth-families increasing disproportionately relative to the rest of families.[22] That said, responses to this question do indicate some divergence between low and high income families: the share reporting a decrease in spending is concentrated among lower-income families (with those reporting their spending was unchanged making up the difference: Figure 8).

Figure 8. Share reporting that spending increased, decreased, remained the same over past year, by income decile



Note: The dark areas in the increase (decrease) bars represent responses of "substantial" increase (decrease), and lighter areas represent "a little" increase (decrease) in spending.
Interpretation: The share of families reporting a decrease in spending is concentrated among lower-income families. Higher-income families do not appear to be disproportionately increasing spending.
Source: Board of Governors of the Federal Reserve System (2026).
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This pattern also emerges in the remaining qualitative questions about changes in income and financial well-being. Lower-income families are substantially more likely than higher-income families to report that they are financially worse off than a year ago or have lower income than a year ago (Figure 9, panel A). At the same time, a significant amount of families in all income deciles reported increases in spending and well-being, such that the share reporting increases is consistently higher than the share reporting decreases (comparing panel A with panel B).[23] However, unlike the share reporting decreases, the share reporting increases only marginally rises with income.

Figure 9. Share of families reporting changes in financial well-being, income, and spending over past year, by income decile



Note: This figure shows the share of families that report—relative to one year ago—being financially worse off, income decreasing, or a decrease in spending (panel A), and the share of families that report—relative to one year ago—being financially better off, income increasing, or an increase in spending (panel B). The keys for each panel identify bars within each decile in each panel in order from left to right.
Interpretation: Lower-income families are more likely to report being financially worse off than a year ago (panel A). However, there does not appear to be a relationship between income and reporting being financially better off (panel B).
Source: Board of Governors of the Federal Reserve System (2026).
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Overall, the pattern that emerges in Figures 7 to 9 is only in part consistent with a K-shaped recovery. Some lower income families are falling further behind higher income families, though not because of disproportionate gains for higher-income families, but because at least some lower-income families are doing worse.

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1. Division of Research and Statistics, Board of Governors of the Federal Reserve System. This research represents the views of the authors and does not indicate concurrence either by other members of the Board's staff or by the Board of Governors. Aladangady: aditya.aladangady@frb.gov, ORCID 0009-0003-8366-3511. Bricker: jesse.bricker@frb.gov, ORCID 0000-0002-0404-2561. Chang: andrew.c.chang@frb.gov, ORCID 0000-0002-9769-789X. Goodman: sarena.f.goodman@frb.gov. Li: jing.li@frb.gov, ORCID 0000-0001-9492-0841. We thank Kevin B. Moore, Karen M. Pence, and Alice Henriques Volz for helpful comments. Return to text

2. See Board of Governors of the Federal Reserve System (2026) to download the SCF data. The 2025 SCF also includes new questions on the propensity to spend, save, and pay down debt out of a hypothetical windfall, and on families' informal support networks. We discuss the results from these new questions in Aladangady, Bricker, Chang, Goodman, and Li (2026a, 2026b). Return to text

3. The full question language for total spending is: "Now we want you to consider *all* of the spending (you have/your family has) done over the last 12 months. About how much (have you/has your family) spent? Please include spending on typical goods and services as well as one-off spending on trips, entertainment, appliances, cars, and other large purchases over the last 12 months." The 2025 SCF also added qualitative questions regarding changes in income and spending over the previous year. For a general overview of the SCF see Aladangady, Bricker, Chang, Goodman, Li, Moore, Reber, Volz, and Windle (2026). In this Note we use the net worth (wealth), income, and other definitions from that overview. Return to text

4. The SCF data used in this Note are derived from the final internal version of the survey information. The 2025 CE data were not yet available at time of this writing. Return to text

5. There is some evidence that asking more detailed questions on spending components, up to a point, yields more accurate data (Browning, Crossley, and Weber, 2003). Return to text

6. Previous research has imputed consumption in the SCF (Fisher, Johnson, Smeeding, and Thompson, 2022) and described inequality in these three dimensions (wealth, income, and consumption); here we offer the first look at directly measured inequality along these three dimensions. Return to text

7. Asking a single retrospective recall question is recommended in Browning, Crossley, and Weber (2003), though the SCF differs in including a 12-month recall window on durables purchases, rather than a 3-month window. Return to text

8. Similarly, the PSID has collected a more streamlined set of consumption questions (48 in all since 2005) than the CE but has good comparability to the overall CE (Andreski, Li, Samancioglu, and Schoeni, 2014). The CE aggregates are typically lower than the NIPA PCE aggregate, partly because PCE includes many things that are spent on behalf of households, but that households wouldn't necessarily report as spending (Bee, Meyer, and Sullivan, 2015). Even so, many individual CE components line up well with the NIPA PCE, as is the case with the SCF measure of new vehicle spending, rent, and food. Return to text

9. If the SCF were constructed excluding its wealthy oversample, the aggregate consumption measured in the SCF would fall to $6.1 trillion, about $0.5 trillion less than the overall SCF aggregate. Return to text

10. Vacations and entertainment are not included in this figure, as the SCF and CE categories have different definitions. Return to text

11. To best align with external datasets, the distributional analysis in this Note relies on calendar year income in the SCF as opposed to the SCF's usual income measure, which captures income earned in a normal year for a family and helps to remove transitory flows from how families rank by income. That said, distributional patterns using usual income are little changed. Return to text

12. To the first point, as noted in the figures, the scatterplots displaying spending-to-income relationships and implied saving rates omit 3 bins with implausibly low incomes in the CE and 1 bin with implausibly low income in the PSID. There is also evidence that low income families, who tend to underreport, are indeed low income but do have slightly higher income than they report (Meyer and Sullivan, 2003). Return to text

13. The saving rate is constructed from our calculations of after-tax disposable income (DPI) and an augmented measure of total spending that includes rent and loan payments. Return to text

14. These rates are consistent with past literature on saving rates by income in household surveys (Dynan Skinner and Zeldes, 2004; Llanes, Thompson, and Volz, 2025). They are larger than NIPA personal saving rates estimated across families (Gindelsky and Martin, 2025), due in part to a combination of (a) NIPA's income concept excludes some income flows that are counted in surveys (retirement income, capital gains) and (b) potential differential under reporting of spending in surveys. Return to text

15. This share is qualitatively similar to two different questions in the SCF that measure rough saving: 19 percent of families report annual spending is greater than or equal to annual income and 17 percent of families who report being unable to save in 2025. Return to text

16. See Box 1 of Aladangady, Bricker, Chang, Goodman, Li, Moore, Reber, Volz, and Windle (2026) and Aladangady, Bricker, Chang, Goodman, and Li (2026a) for more treatment of consumption in the SCF. Return to text

17. The SCF estimate that the top decile accounts for 28 percent of spending is lower than estimates found in popular press, which attribute up to 45 percent of spending to the top decile of income (Horwich, 2026), with methodological differences appearing to drive this difference. Return to text

18. While measurement error is likely higher for consumption than for income in the SCF, this error would likely raise measured concentration in consumption relative to income. As such, our result can be seen as a bound, and we can safely conclude consumption inequality is lower than income inequality. The literature has faced similar issues in using the CE to study trends in consumption and income inequality, and different solutions lead to different answers on consumption inequality. For example, Aguiar and Bils (2015) find that consumption inequality has grown similarly to income inequality, while Meyer and Sullivan (2023) use the same data and find that income inequality growth has greatly outpaced consumption inequality growth. Return to text

19. The concentration of NIPA personal consumption expenditures is lower than the concentration of spending in the SCF, although some of the lower NIPA concentration is likely due to different measurement concepts (Bureau of Economic Analysis, 2025). Return to text

20. Recent analyses sometimes show support for K-shaped economic growth (Hagler and Patki, 2025; Chakrabarti, Pham, Pierce, and Pinkovsky, 2026; Marte, 2026) and sometimes do not (Hoham and Yang, 2025; Horwich, 2026). Return to text

21. The 2025 SCF asked three new questions. First (x25005): "Relative to this time last year, would you say that you (and your family living here) are financially much better off, somewhat better off, about the same, somewhat worse off, or much worse off?" Second (x25006): "Would you characterize your family's average monthly *income* relative to one year ago as: a substantial increase in income, a small increase in income, about the same income, a small decrease in income, or a substantial decrease in income?" Third (x25007): "Would you characterize your family's average monthly *spending* relative to one year ago as: a substantial increase in spending, a small increase in spending, about the same spending, a small decrease in spending, or a substantial decrease in spending?" Return to text

22. Families' experiences with inflation may shape their responses to this question, and differential inflation experiences across income groups may lead to bias in this figure. That said, inflation experiences of low-, middle-, and high-income families were about the same during the 12-month reference period in the SCF field period (Chakrabarti, Pham, Pierce, and Pinkovsky, 2026). Return to text

23. This finding is consistent with Hacıoğlu Hoke, Feler, and Chylak (2024), who find that low, medium, and high-income households all increased spending starting in mid-2023. Return to text

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